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Primary Auction Note – August 2021

In a bid to raise **60 Billion,** Central Bank of Kenya re-opened two fixed rate bonds **FXD3/2019/10-(8.1yr)** and **FXD1/2018/20-(16.7yr)**, and opened a new 20 year bond, **FXD1/2021/20**. The coupon rates for the bonds were **11.52%, 13.20**% and **market-determined** for the **FXD3/2019/10, FXD1/2018/20** and **FXD1/2021/20** respectively.

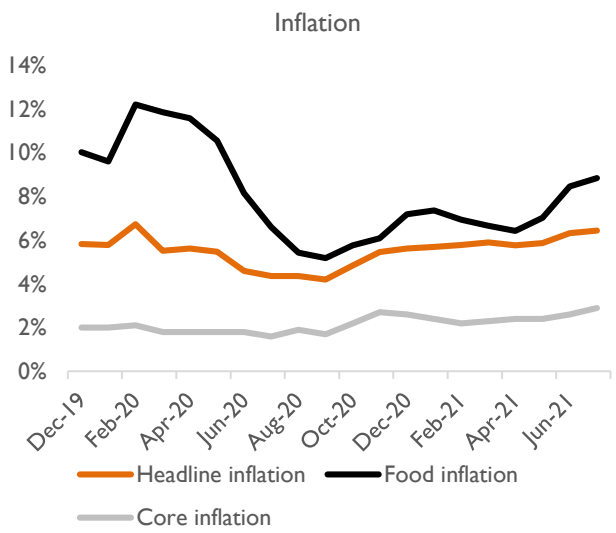
Elevated money market liquidity: In FY2021/22, the government's appetite for debt remains elevated due to its high expenditure while revenue collections are expected to fall below target. Meanwhile, demand for government paper remains high due to investors' low risk appetite. In the current auction, the government is likely to reject aggressive bids as pressure on government borrowing during the first few months remains muted.

We advise investors to bid within the range of 12.00% to 12.20% for the **FXD3/2019/10-(8.1yr), 13.00% to 13.20%** for the **FXD1/2018/20-(16.7yr),** and **13.30% to 13.49%** for the **FXD1/2021/20-(20yr)**.

Secondary Bond Market:

In June, the secondary market activity decreased. Turnover in July, decreased by **0.45%** to **KES 91.38Bn ($841.36Mn)** from **KES 91.79Bn ($851.12Mn)** witnessed in May.

July Inflation:



In July, Headline inflation increased to **6.44%** from **6.32%** in June. The CPI increased by **0.20%** from **115.11** in June to **115.34** in July.

Meanwhile, food and beverage index decreased by **0.46%** due to the decrease in prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

August 9th , 2021

RECOMMENDATIONS:

FXD3/2019/10

Bid 12.00% to 12.20%

FXD1/2018/20

Bid 13.00% to 13.20%

FXD1/2021/20

Bid 13.30% to 13.49%

Period of Sale: 26/07/2021 to 10/08/2021

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI:
(2019=100):
115.34

July Inflation: 6.44%

Interbank rate (30th July 2021): 3.32%

C.B.R (June 2021): 7.00%

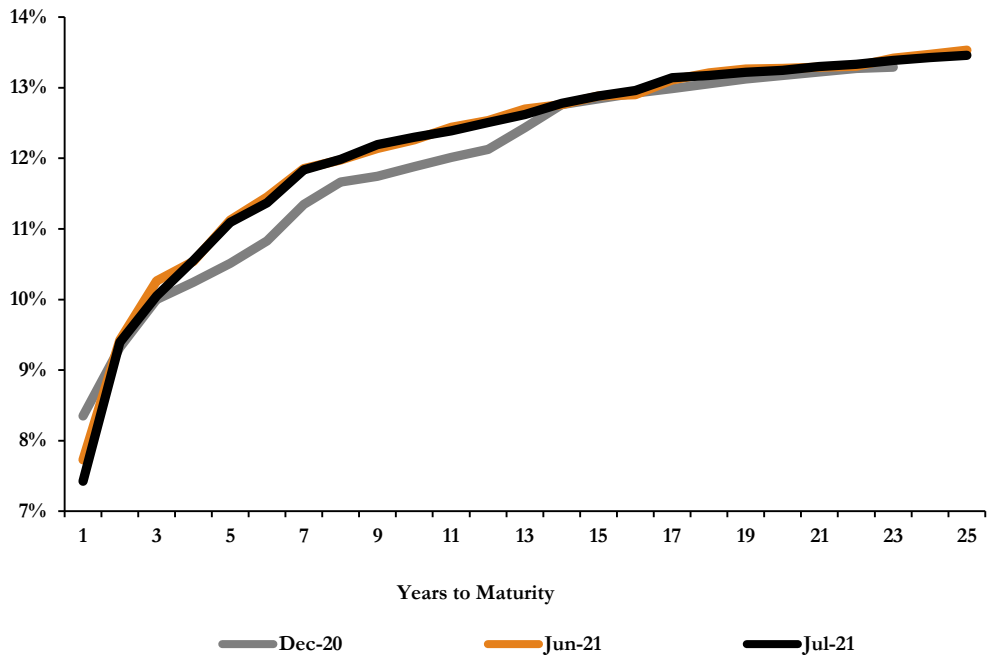
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Interbank

Money market remained relatively liquid during the month of July. The interbank rate decreased from **4.95%** as of 30th June to **3.32%** as of 30th July.

In July, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth, and inflation remained below its upper target of 7.5%.

NSE Yield Curve



During the month, the yield curve remained relatively unchanged. We expect the yield curve to remain relatively unchanged with a downward bias on the short end of the curve.

Currency:

The Kenya Shilling (KES) depreciated against the greenback over the month of June as it lost **0.70%.** On the 30th of July, the KES closed at a value of **KES 108.61/$** versus the **KES 107.85/$** witnessed at the end of June. The shilling is likely to gradually depreciate mainly due to an increase in the import bill from rising oil prices and reduced export earnings

CBK's usable foreign exchange reserve increased to **USD 9,341 million** in July from **USD 8,114 million** at the end of June, representing an increase to **5.71 months** of import cover from **4.96 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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